

Secondary Markets for Private Equity and Hedge Funds

Exchanges for secondary transactions in hedge funds and private equity have sprung up, but these markets are still very thin.³⁵ Many transactions do not take place on organized secondary market platforms.

There are two forms of secondary markets in private equity. First, in secondary (and tertiary) market buyout markets, private equity firms trade private companies with each other. These markets have blossomed: in 2005, secondary buyouts represented around 15% of all private equity buy-out deals.³⁶ From the perspective of asset owners (limited partners [LPs]), this market provides no exit opportunities from the underlying private equity funds and is at worst a merry-go-round of private equity firms swapping companies in circular fashion. At best, more transactions at market prices (assuming there is no finagling between the transacting funds) allow asset owners to better value their illiquid investments. The LPs are still stuck in the fund, but they might receive some cash when a company in their fund's portfolio is sold to another private equity firm.

Secondary markets for LPs, which allow them to exit from private equity funds, are much smaller and more opaque. Even industry participants acknowledge this market "still remains relatively immature . . . and still represents a very small percentage of the primary market."³⁷ Bid-ask spreads in these transactions are enormous. As Cannon (2007) notes, the secondary market for LPs was dominated in the 1990s by distressed sellers. Specialized firms on the other side of these deals got discounts of 30% to 50%; there was a reason these firms were called "vultures." In the 2000s, discounts fell to below 20% but shot up during the financial crisis. Harvard University found this out when it tried to disinvest in private equity funds during 2008 and faced discounts of 50%.

Discounts for hedge funds are much smaller than private equity. This reflects the fact that hedge funds investors can, in most cases, access capital at predetermined dates after lockups have expired and notice requirements have been satisfied (unless the hedge fund imposes gates). Reflecting this greater underlying liquidity, hedge fund discounts in secondary markets in 2007 and 2008 were around 6% to 8%.³⁸ (A few hedge funds that are closed to new investors actually trade at premiums.)

The nascent secondary markets for private equity and hedge funds are tremendous opportunities for large asset owners to supply liquidity. Secondary private equity is like second-hand cars that are still brand new. When you drive a new car off the lot, it immediately depreciates by a quarter, even though it is exactly the same as a car sitting in the dealer's inventory. Secondary private equity is still private equity, and you can get it a lot cheaper than direct from the dealer.

³⁵ An academic study of this market is Kleymenova, Talmor, and Vasvari (2012).

³⁶ Report of the Committee on Capital Markets Regulation, 2006,

³⁷ From the introduction to Luytens (2008) written by Andrew Sealey and Campbell Luytens.

³⁸ See Ramadorai (2012).